FairExit
Challenge your severance offer.



YOUR SEVERANCE REPORT

Your offer, organized.

We read your letter and your contract, checked them against the law, and estimated the range a case like yours can reach. Use it to understand your offer and prepare. **It's an estimate, not a promise**; only a lawyer can confirm your exact number.

DO-IT-YOURSELF · NOT LEGAL ADVICE · YOU'RE IN CONTROL

PREPARED FOR
Gurpreet Sandhu

ROLE
Quality Assurance Supervisor · 14.5 years of service

WHERE
Ontario

DATE
October 31, 2026

TEST REPORT · fictional person and company · **For information only** — not legal advice · Yours to keep and use

General information, not legal advice. We've done our best to make this clear and accurate, but please check the details before you act. If anything feels unclear, a professional can help.

What's in *this report.*

Read it top to bottom, or jump to the page you need.

1 **Where you stand** — pages 4–9
Your offer checked against the rules, and what lines up.

2 **Two numbers to understand** — pages 10–11
The legal minimum, and what a court might award.

3 **What's in your letter and contract** — pages 12–16
Clause by clause, with sources.

4 **Questions to prepare** — pages 17–19
Calm questions for HR, and this week's steps.

5 **Your next step** — pages 20–21
The three paths, side by side.

6 **Where every number comes from** — page 22
Every number and rule, with its official source.

7 **Talking to a lawyer** — page 23
How to hand this report over, and your report ID.

How to read the colours: they always mean the same thing.

Green · lines up | Red · doesn't line up | Yellow · ask about it | Gray · good to know | Dark blue · your key number

This report checks your offer against Ontario's rules and gives you an **estimated range**: the legal minimum (a fixed rule) up to what courts often award for someone like you (an estimate). It doesn't promise an amount or tell you what to do.

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The important stuff — *please read.*

Straight talk about what this pack is, what it isn't, and where the responsibility sits.

1 · This is a do-it-yourself report

This is designed for you to use **on your own**. It organizes your offer and prepares questions — it is **not** advice a lawyer would give you after reviewing your full situation, and a lawyer may see things very differently. Anything you choose to send or say, you're doing **on your own initiative**.

2 · Information, not legal advice

This pack gives you information to help you prepare. It does **not** make FairExit your lawyer and does not create a lawyer–client relationship. Nothing here is legal advice.

3 · We use AI — mistakes can happen

The explanations, notes, and draft questions are produced by **software and AI** from general rules and the details you gave us. **AI can be wrong, details can be misread, and laws change**. It is up to you to read everything carefully and confirm every fact is correct before you rely on it.

4 · No guarantee — and the decisions are yours

Any general information here can be wrong, and outcomes depend on your paperwork and your situation. **FairExit accepts no responsibility for what you send, say, or decide based on this report** — those choices are entirely yours. Deadlines to act can be short; confirm them with a lawyer promptly.

5 · Only a lawyer can give you the exact answer

We provide clarity in an organized way. **Only a licensed employment lawyer** can confirm what you're truly owed, review your real contract, and advise you. If anything feels urgent or serious — especially before you sign anything — speak to a lawyer. The first call is often free.

6 · Once a lawyer takes your case, follow them

Everything here is **general and organizational**. If you retain a lawyer, their advice **supersedes** anything in this report — follow your lawyer, not this document. **Do not rely on this report once you're working with a lawyer**.

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SECTION 1 OF 5 · WHERE YOU STAND

1

Where you stand

Your offer, checked against the rules. What they offered, what the rules say, and what lines up and what doesn't. If you only read one section, read this one.

IN THIS SECTION

Your offer at a glance

Things they don't always tell you

Did they do it right?

Your estimated range

What lifts your range

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Your offer, *at a glance.*

The short version before the detail.

Your offer of $24,000 is significantly below the Employment Standards Act (ESA) minimum of $48,606 (8 weeks notice plus 14.5 weeks severance). Furthermore, under Ontario common law, individuals in your position typically receive 15 to 22 months of total compensation ($140,625 to $206,250). Your letter asks you to sign within 14 days, but statutory minimums cannot be made conditional on signing a release.

Employer	**Lakeshore Precision Inc.**
Years of service	**14.5 years of continuous service with Lakeshore Precision Inc.**
Your pay	**$1,12,500**
They offered	**$24,000**
Legal minimum	**$48,606**
Decide by	**Oct 5, 5 p.m.**

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Things they don't always *tell you.*

You have a date to sign by. Here's what the official rules say, so you can decide on your timeline, not theirs. Every point links to a government source.

WHAT PEOPLE OFTEN THINK	WHAT THE OFFICIAL RULES SAY
"One week per year of service is the standard common-law severance rule."	The Supreme Court of Canada and Ontario Court of Appeal have repeatedly rejected the "rule of thumb" of one week (or one month) per year. Notice depends on your age, character of employment, length of service, and market availability.

WHAT PEOPLE OFTEN THINK	WHAT THE OFFICIAL RULES SAY
"If you do not sign within 14 days, you lose your right to any severance."	Statutory minimum notice and severance ($48,606 in your case) can never be withheld. You have up to two years from your termination date to bring a common-law claim.

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Did they do it *right?*

Your letter, your contract and the rules, side by side. Green = it lines up. Red = it doesn't. Yellow = worth asking about.

1 LINE UP | 5 DON'T | 1 TO ASK ABOUT

WHAT WE CHECKED	YOUR SEVERANCE LETTER SAYS	YOUR EMPLOYMENT CONTRACT SAYS	THE RULES SAY	DOES IT LINE UP?
Money offered	$24,000 lump sum	ESA statutory minimums only	ESA minimum is $48,606 (22.5 weeks total)	✗ **Doesn't line up** The offer is $24,606 below what the ESA legally guarantees you regardless of any agreement.
Working notice	8 weeks salary in lieu of notice ($17,215)	Notice per ESA	ESA s. 57: 8 weeks notice for 8+ years service	✓ **Lines up** Notice calculation matches the statutory minimum weeks, but statutory severance was omitted.
Statutory severance pay	Not included in offer letter	Silent	ESA s. 64: 1 week/yr up to 26 weeks ($31,391 for 14.5 yrs)	✗ **Doesn't line up** Lakeshore Precision meets the $2.5M Ontario payroll threshold; severance pay is mandatory.
Benefits continuation	Ends on last day of active employment	Standard group benefit coverage	ESA s. 60(1)(c): All benefits must continue through statutory notice period (8 weeks)	✗ **Doesn't line up** Cutting off health, dental, and life insurance on your last day violates ESA minimum standards.
Accrued vacation pay	Accrued vacation paid to termination date	4 weeks annual vacation	ESA s. 61(1)(b): Vacation pay (6%) also applies to statutory notice pay	✗ **Doesn't line up** Vacation pay must be calculated and paid on your notice pay period as well.
Release condition	Full and final release required before any payment	Release required upon termination	ESA s. 5: No contracting out; minimums must be paid unconditionally	✗ **Doesn't line up** Your employer cannot withhold your $48,606 statutory minimum if you refuse to sign the release.
Deadline to sign	14 calendar days from delivery	N/A	No statutory deadline; 2-year limitation period under Limitations Act, 2002	! **Ask about this** 14-day deadlines are an employer-imposed tactic; you are entitled to reasonable time for review.

Checked against Ontario's Employment Standards Act and court decisions. Sources are on the Sources page.

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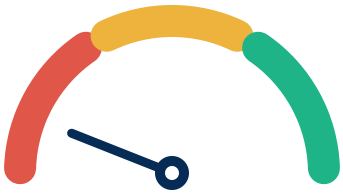
Your estimated *range.*

The legal minimum is a fixed rule. The top is our estimate of what a court might award, and only applies if your contract doesn't validly limit you.

ESTIMATED SEVERANCE RANGE

$48,606 – $206,250

Floor = 22.5 weeks notice + severance pay + vacation pay. Top = about 15–22 months of base pay, which applies only if your contract doesn't validly limit you. Your offer is **$24,606 below the minimum**.



Your offer: $24,000

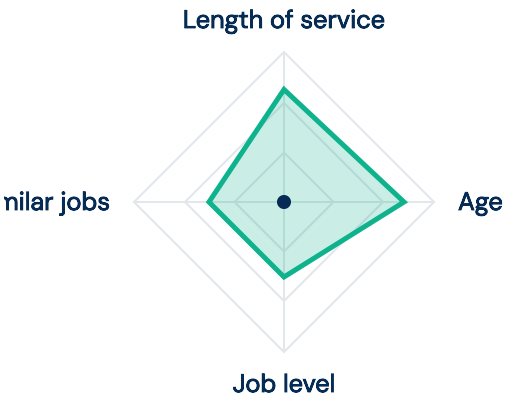


This is an estimate, not a promise. Base pay only: a bonus and benefits during the notice period could add to it. Pay from a new job usually reduces the part above the minimum. Only a lawyer can confirm your number.

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What lifts your *range.*

Courts look at four things when they decide how much notice is fair. Your pay isn't one of them: it turns the months into dollars.



Centre = works a little in your favour · edge = works a lot

- **Length of service: 14.5 years of continuous service with Lakeshore Precision Inc..** 14.5 years is long service under Ontario law, representing over a decade of dedicated commitment. Long tenure is one of the strongest factors increasing notice periods.
- **Age: 52 years old at time of termination.** At 52 years of age, Ontario courts recognize that older workers face documented systemic obstacles when seeking equivalent replacement employment.
- **Job level: Quality Assurance Supervisor (mid-management).** Supervisory oversight of quality control teams involves specialized management responsibilities that warrant extended transition support.
- **Similar jobs nearby.** Automotive and advanced manufacturing QA supervisory roles in Southwestern Ontario are currently facing contraction, lengthening search times.

Your pay: $1,12,500 a year. It turns the months into dollars.

What your shape says

Your chart reaches furthest on **age and length of service**, two of the heaviest factors. That is why the estimate reaches toward **$206,250**.

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2

Two numbers to understand

There are two numbers in your situation: the legal minimum, a fixed rule you can check yourself, and what a court might award, which is our estimate. This section explains the difference in plain words.

IN THIS SECTION

The floor, and the range above it

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The floor — and *the range above it.*

One number is a rule. The other is an estimate. Here is how each is worked out.

1 · The legal minimum (a rule you can check)

- Termination pay: 22.5 weeks × weekly pay = $19,442 (ESA)
- Severance pay: 14.5 weeks × weekly pay = $29,164
- Vacation pay on termination pay: 6% × termination pay = $1,038
- **Legal minimum: $48,606**

2 · What a court might award (our estimate)

If your contract doesn't validly limit you, a court can award "reasonable notice" **instead of** the minimum, based on four factors: length of service, age, job level and similar jobs nearby. For you: about **15–22 months of base pay, $140,625–$206,250**. Courts rarely go past about 24 months. Pay from a new job usually reduces the part above the minimum.

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3

What's in your letter and contract

Clause by clause: what your documents say, what the rules say, and what it could mean for you. Each point shows where it comes from.

IN THIS SECTION

Termination Clause (Employment Agreement, Section 8)

Full and Final Release & Waiver of Claims

Non-Competition and Non-Solicitation Covenant

Immediate Benefits Cessation Provision

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The terms to understand and the *questions to ask.*

For each: what your documents say, what the rules say, and what it means.

ASK ABOUT IT

1. Termination Clause (Employment Agreement, Section 8)

YOUR DOCUMENTS SAY

"In the event of termination without cause, the Employer may terminate employment by providing only the minimum notice and severance required by the Employment Standards Act, 2000."

WHAT THE RULES SAY

This clause attempts to limit your payout strictly to ESA minimums and waive common-law reasonable notice. However, Ontario courts (e.g., Waksdale v. Swegon North America) frequently find such clauses unenforceable if any part of the contract breaches the ESA.

Why it matters: This clause attempts to limit your payout strictly to ESA minimums and waive common-law reasonable notice. However, Ontario courts (e.g., Waksdale v. Swegon North America) frequently find such clauses unenforceable if any part of the contract breaches the ESA.

→ **Has this clause been reviewed against recent Ontario appellate case law, and is the employer prepared to stand on an unmitigated common-law settlement?**

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The terms to understand and the *questions to ask.*

For each: what your documents say, what the rules say, and what it means.

MAY NOT HOLD · A LAWYER CONFIRMS

2. Full and Final Release & Waiver of Claims

YOUR DOCUMENTS SAY

"The Employee releases and forever discharges the Company and its affiliates from any and all claims, complaints, or causes of action arising out of employment or termination."

WHAT THE RULES SAY

Signing this gives up your right to claim statutory severance, common-law pay in lieu of notice, and any human rights or pension claims. A release must be supported by fresh consideration beyond what you are already owed by law.

Why it matters: Signing this gives up your right to claim statutory severance, common-law pay in lieu of notice, and any human rights or pension claims. A release must be supported by fresh consideration beyond what you are already owed by law.

→ **Can the employer confirm that all statutory minimums ($48,606) will be paid immediately on payroll without requiring a signed release?**

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The terms to understand and the *questions to ask.*

For each: what your documents say, what the rules say, and what it means.

ASK ABOUT IT

3. Non-Competition and Non-Solicitation Covenant

YOUR DOCUMENTS SAY

"The Employee agrees not to engage in any competing business within a 50 km radius for a period of twelve (12) months following the termination date."

WHAT THE RULES SAY

Under Ontario ESA amendments enacted in 2021 (Bill 27, Working for Workers Act), non-compete clauses for non-executive employees entered into after October 2021 are void by statute. For earlier contracts, geographic and temporal restrictions must be strictly reasonable.

Why it matters: Under Ontario ESA amendments enacted in 2021 (Bill 27, Working for Workers Act), non-compete clauses for non-executive employees entered into after October 2021 are void by statute. For earlier contracts, geographic and temporal restrictions must be strictly reasonable.

→ **Will the company provide written confirmation that it will not enforce the post-employment non-compete restriction in Ontario?**

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The terms to understand and the *questions to ask.*

For each: what your documents say, what the rules say, and what it means.

DOESN'T LINE UP

4. Immediate Benefits Cessation Provision

YOUR DOCUMENTS SAY

"All group life, medical, dental, and disability insurance benefits shall terminate immediately on the employee's final day of active duty."

WHAT THE RULES SAY

This provision directly contravenes Section 60(1)(c) of the Employment Standards Act, 2000, which requires the employer to maintain all benefits for the full statutory notice period.

Why it matters: This provision directly contravenes Section 60(1)(c) of the Employment Standards Act, 2000, which requires the employer to maintain all benefits for the full statutory notice period.

→ **When will the company confirm in writing that comprehensive medical and dental coverage will continue uninterrupted for the required 8-week statutory notice period?**

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4

Questions to prepare

Calm questions you can send to HR, and practical steps for this week. You decide what to use and when.

IN THIS SECTION

Questions you might choose to ask

Take your time, and keep it simple

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Questions you might *choose to ask.*

Neutral questions you might choose to send. You decide what to send. This is not a demand letter or legal advice.

To: **Denise Faulkner** · Subject: **A few questions about my separation offer**

Hi Denise,

Thank you for the letter. Before I decide, I have a few questions.

- Can you provide a detailed written itemization breaking down how the $24,000 offer was calculated?
- Since my length of service exceeds 5 years and the company payroll exceeds $2.5M, why was statutory severance under ESA Section 64 omitted from the package?
- Will you confirm in writing that all group health, dental, and life insurance benefits will remain active throughout the 8-week statutory notice period?
- Can you confirm that the statutory minimum payments will be processed unconditionally on the next regular pay date while we discuss the common-law notice terms?

Thank you,
Gurpreet Sandhu

Why this works: it asks clear questions instead of making claims, and asks for time to understand the offer.

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Take your time — *and keep it simple.*

Two things that help: not rushing, and keeping your questions clear.

You usually don't have to decide on the spot

Your letter gives a deadline for the extra $5,000. Asking to take the offer home to review it is a normal, complete answer. The $24,000 doesn't depend on signing.

This week — the practical stuff

- **Apply for EI** within 4 weeks of your last day (canada.ca).
- **Write down every date:** sign-by Oct 5, 5 p.m., benefits Nov 23, 2-year claim limit.
- **Gather documents:** letter, contract, promotion note, bonus plan, pay stubs.
- **Check your final pay** for vacation pay.
- **Keep this report** to hand to a lawyer if you choose.

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SECTION 5 OF 5 · YOUR NEXT STEP

5

Your next step

The three paths side by side, where every number in this report comes from, and how to hand it to a lawyer if you want one.

IN THIS SECTION

You don't have to sign today

Where every number comes from

Talking to a lawyer

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You don't have to *sign today.*

Here's how the three paths compare.

OPTION 1

Sign as-is

Accept the offer and move on.

You get $24,000. It gives up the contract question.

OPTION 2

Ask your questions

Use Section 4 to raise it yourself.

You run it yourself, using Section 4.

OPTION 3

Talk to a lawyer

They can tell you what applies to you.

First call often free. The contract question needs a lawyer to read it.

Honest note: this report helps you ask the right questions. The contract question in Section 3 is one a lawyer needs to read your contract to answer.

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Where every number *comes from.*

Ontario statute text checked on e-Laws and government guides.

IN YOUR REPORT	HOW WE GOT IT	SOURCE
Ontario Ministry of Labour	Your guide to the ESA, Termination of employment (notice table, 3-month rule, mass termination, temporary layoff)	**CA-ON-S1** https://www.ontario.ca/document/your-guide-employment-standards-act-0/termination-employment
Ontario Ministry of Labour	Your guide to the ESA, Severance pay (5 years, $2.5M payroll, 26-week cap, 7-day payment rule)	**CA-ON-S2** https://www.ontario.ca/document/your-guide-employment-standards-act-0/severance-pay
Ontario Ministry of Labour	Your guide to the ESA, Severance pay: the $2.5 million payroll test counts the employer's global payroll, not just Ontario (as confirmed in Hawkes v. Max Aicher (North America) Ltd., 2021 ONSC 4290)	**CA-ON-S3** https://www.ontario.ca/document/your-guide-employment-standards-act-0/severance-pay
Ontario Ministry of Labour	Your guide to the ESA, Filing a claim (2-year limit)	**CA-ON-S4** https://www.ontario.ca/document/your-guide-employment-standards-act-0/filing-claim
Supreme Court of Canada	Docket 39326, Swegon North America Inc. v. Waksdale, leave to appeal dismissed 2021-01-14 (ONCA 391 stands)	**CA-ON-S5** https://www.scc-csc.ca/case-dossier/info/dock-regi-eng.aspx?cas=39326
Government of Canada	Temporary EI measures: separation earnings not deducted and waiting period waived for claims March 30, 2025 to October 9, 2027	**CA-ON-S6** https://www.canada.ca/en/services/benefits/ei/temporary-measures-for-major-economic-conditions.html

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One step, and a lawyer *takes it from here.*

If they push back, go quiet, or it feels like too much, you can hand this report to a lawyer.

Show them this page.

Your report ID connects this report to FairExit, so they can see what you've already done. Connecting is free; you choose whether to go further.

Report ID **RPT-2026-CA-9941**



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Built on the details you confirmed on October 31, 2026.

Rules as of October 25, 2026.

Report ID RPT-2026-CA-9941 · generated October 31, 2026

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